Russia, Ukraine: Escalation coming in autumn

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【メール原文】

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Escalation between Russia and Ukraine coming in the autumn

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Pressed by a widening fiscal deficit, declining public support and diminishing hopes for US pressure on Kyiv, Russia will step up its strike campaign against Ukraine and mobilize more troops to increase pressure on the front line.
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Ukraine will escalate too, striking Russian ports, refineries and logistics hubs, but inflicting economic pain on Russia will not offset Kyiv's worsening manpower deficit.
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Regardless of how the autumn escalation plays out, both sides will face stronger incentives to negotiate by late summer 2027.

Russia and Ukraine are heading toward an escalation that will leave both weaker and more willing to negotiate by late summer 2027. The Kremlin faces a widening fiscal deficit, and a front line that has barely moved in a year. President Vladimir Putin's approval rating has fallen from its peak to about 70%, near pre-invasion levels. Support for the government and parliament has also declined. More than half of Russians still support the war, but two-thirds want a negotiated peace. Members of the elite have also begun to call more openly for an end to the war. These pressures will likely push Putin to shift from a strategy of attrition toward sharper escalation. Regardless of the success of either side, this opens a window for negotiations later in 2027.

President Volodymyr Zelensky also has reasons to escalate. Although Ukraine has improved its military performance and slowed Russia's advances, its armed forces continue to lose personnel, and mobilizing additional men has become more difficult. At home, Zelensky faces pressure from several corruption scandals involving close associates (see note Elections before a ceasefire remain unlikely despite mounting pressure on Zelensky).

This winter will prove more difficult for Ukraine than the last. Shortages in Ukraine's air defenses mean the country cannot adequately protect cities and energy infrastructure from frequent Russian ballistic missile attacks. Living conditions in Kyiv and other major cities could become unbearable if Russia begins targeting water systems and other essential civilian infrastructure. Over the longer term, Zelensky also faces the risk of declining political support in Europe if far-right leader Marine Le Pen wins the French presidency in May 2027, which for the first time is a real possibility (see note Edouard Philippe is the most likely next French president).

However, Ukraine has identified Russia's economic vulnerabilities. Kyiv will continue to exploit them by striking ports, refineries, and logistics hubs.

Russia's fiscal pressures are mounting and will intensify next year. The 2026 budget projected a full-year deficit of 1.6% of GDP. By the end of July, the deficit had reached 2.8% of GDP, driven by higher defense spending and oil revenues that fell short of expectations. Confronted with prohibitively high borrowing costs, the Finance Ministry halted fixed-coupon debt auctions and will need to shift to bonds with inflation-linked coupons, raising debt-servicing costs. At the same time, non-oil revenues are running above plan, as 6% inflation (two percentage points above target) has boosted tax receipts. Even so, next year's fiscal position looks weaker under the current spending framework.

The government retains some short-term room to maneuver. It can delay already approved fiscal disbursements, draw on reserves held in state accounts, issue more expensive debt, and rely on higher tax revenues boosted by inflation. However, these are stopgap measures and will offer limited relief from 2027 onward.

Russia's escalation options are limited, and none will resolve its core problems before they worsen. Moscow's main military objective is to capture Kramatorsk and Slovyansk, the remaining major cities in the Donbas, in the hope that doing so would trigger a political crisis in Ukraine, weaken Zelensky and fracture European resolve.

Yet neither general mobilization nor more dramatic escalation is likely to achieve Putin's military objectives. A full general mobilization (a 25% probability) would refill manpower fastest but carries heavy political costs given the fallout from the 2022 mobilization. Still, a 25% probability is the highest we have assigned this risk since 2023. Unlike Russia's current system—which fills ranks through financial incentives, contract soldiers, and administrative coercion—a formal decree would require men to report for service by law.

Tactical nuclear use, which we place at 5%, would galvanize the Western coalition that Moscow hopes to divide and alienate China, Russia's main trade and political partner. An open kinetic attack on NATO territory, which we place at 10%, would open a second front that Russia lacks the capacity to sustain and would solidify Europe's resolve—exactly what Putin wants to avoid.

That leaves an intensified version of Russia's current approach as the most likely path, at 60%: coaxing more men to the front with money and threats, combined with heavier strikes on infrastructure and subthreshold attacks in Europe. Putin is betting that Western or Ukrainian resolve will crack before Russia's finances do, although there is little evidence that either will.

Once the escalation runs its course, President Donald Trump and at least some European leaders will likely press both sides toward negotiations—making late summer 2027 the most plausible window for talks.

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